

Chapter 11. Security Analysis for the Lay Investor:

General Approach

[1.](#) Our textbook, by Benjamin Graham, David L. Dodd, Sidney Cottle, and Charles Tatham (McGraw-Hill, 4th ed., 1962), retains the title originally chosen in 1934, but it covers much of the scope of financial analysis.

[2.](#) With Charles McGolrick, Harper & Row, 1964, reissued by HarperBusiness, 1998.

[3.](#) These figures are from Salomon Bros., a large New York bond house.

[4.](#) At least not by the great body of security analysts and investors. Exceptional analysts, who can tell in advance what companies are likely to deserve intensive study and have the facilities and capability to make it, may have continued success with this work. For details of such an approach see Philip Fisher, Harper & Row, 1960.

[5.](#) On p. 295 we set forth a formula relating multipliers to the rate of expected growth.

[6.](#) Part of the fireworks in the price of Chrysler was undoubtedly inspired by two two-for-one stock splits taking place in the single year 1963—an unprecedented phenomenon for a major company. In the early 1980s, under Lee Iacocca, Chrysler did a three-peat, coming back from the brink of bankruptcy to become one of the best-performing stocks in America. However, identifying managers who can lead great corporate comebacks is not as easy as it seems. When Al Dunlap took over Sunbeam Corp. in 1996 after restructuring Scott Paper Co. (and driving its stock price up 225% in 18 months), Wall Street hailed him as little short of the Second Coming. Dunlap turned out to be a sham who used improper accounting and false financial statements to mislead Sunbeam's investors—including the revered money managers Michael Price and Michael Steinhardt, who had hired him. For a keen dissection of Dunlap's career, see John A. Byrne, *Chainsaw* (HarperCollins, New York, 1999).

[7.](#) Note that we do not suggest that this formula gives the “true value” of a growth stock, but only that it approximates the results of the more elaborate calculations in vogue.